Ind AS 109 — Deep Dive

EIR, FVOCI flow, ECL matrix, modification test, intra-group loans & guarantees — all computed (₹).

① Amortised cost — EIR table

Bond face ₹1,00,000, coupon 6% annual, 3 years; bought for ₹95,000 + transaction cost ₹1,000 → initial carrying ***₹96,000****. EIR (solved) =* ***7.5392%****.*

Year	Opening	Interest at EIR (P&L)	Coupon received	Closing
1	96,000	7,238	6,000	97,238
2	97,238	7,331	6,000	98,569
3	98,569	7,431	6,000	1,00,000 → redeemed

EIR includes transaction costs and discount / premium → they're spread through interest, never expensed upfront (except FVTPL).

② Same bond as FVOCI (debt)

Year 1	Amount	Goes to
Interest income at EIR	7,238	**P&L**
12-month ECL (say)	500	**P&L expense; credit to OCI (not to asset)**
FV at year-end 97,500 vs amortised cost 97,238	262	**OCI**
Balance sheet carrying amount	**97,500** (FV)	

> ⚠ **TRAP**
> P&L of an FVOCI debt asset = ***exactly as if amortised cost*** (interest, ECL, FX). Only the FV difference sits in OCI — and it's ***recycled*** on sale.

③ ECL — provision matrix (simplified approach)

Ageing bucket	Receivables	Loss rate*	ECL
Not due	5,00,000	0.5%	2,500
1 – 30 days	2,00,000	1.5%	3,000
31 – 60 days	1,00,000	4%	4,000
61 – 90 days	50,000	10%	5,000
> 90 days	30,000	40%	12,000
Loss allowance			**26,500**

Historical loss rates* ***adjusted for forward-looking* *information (GDP, sector stress). Increase / decrease in allowance → impairment loss / gain in P&L.*

④ Loan modification — 10% test (borrower)

Loan ₹10,00,000 at 10% (original EIR), 3 years left. Lender agrees to cut interest to 7%; no fees.

Working	₹
PV of new cash flows at **original EIR 10%**: 70,000 × 2.4869 + 10,00,000 × 0.7513	9,25,394
PV of old remaining cash flows (= carrying amount)	10,00,000
Difference 7.46% → **< 10%** → **not substantial**	
Carrying amount adjusted to 9,25,394; **modification gain** → **P&L**	**74,606**

If ≥ 10% (or qualitatively substantial, e.g., currency change, equity conversion feature added) → **extinguish** old loan, recognise new at **FV**; difference → P&L; fees → part of gain / loss. Fees in the test: **fees paid net of fees received**.

⑤ Interest-free loan to subsidiary (parent's SFS)

Parent lends ₹10,00,000 to S, interest-free, repayable in 3 years; market rate 10%.

Entry	₹
Loan at FV = 10,00,000 ÷ 1.1^3	7,51,315
Difference → **investment in subsidiary** (capital contribution)	2,48,685
Year 1 interest income (unwinding at 10%)	75,131

In **S's** books: liability 7,51,315; difference 2,48,685 → **equity** (contribution from parent); interest expense unwinds. In **CFS**: everything eliminates. Loan to **employee** → difference = **prepaid employee benefit** (Ind AS 19).

⑥ Financial guarantee for subsidiary's bank loan

- → Parent (issuer): guarantee at **FV** (e.g., fee a bank would charge, say ₹50,000) → Dr **investment in sub**, Cr financial guarantee liability; amortise to income over guarantee period
- → Later: **higher of** (a) ECL allowance and (b) initial amount less cumulative income
- → Sub (holder): guarantee from parent → usually integral to loan, not separately accounted
- → CFS → eliminated

> Intra-group "free" benefits are never free: the gap between FV and price is a **capital contribution** (parent → investment; sub → equity).

7 SPPI & business-model cases

Instrument / situation	Result
Plain fixed / floating rate loan	**SPPI ✓**
Interest linked to **issuer's profit** or an **equity index**	**Fails → FVTPL**
Convertible bond (holder)	**Fails → whole at FVTPL (no bifurcation for asset hosts)**
Interest reset to 1-year rate every month (**tenor mismatch**) — modified time value	Benchmark test: if cash flows significantly different → fails
Prepayment at par + reasonable compensation	**SPPI ✓ (incl. negative compensation if reasonable)**
Bank sells loans only when credit risk rises	**Still HTC**
Treasury portfolio sold regularly for liquidity & yield	**HTC & sell** → FVOCI
Portfolio managed & evaluated on **FV** basis	**FVTPL**

8 Embedded derivatives — host is NOT a financial asset

Embedded feature	Separate?
Equity-linked interest in a debt **liability**	**Yes — not closely related**
Commodity-indexed payments in a debt liability	**Yes**
Interest-rate cap / floor out of the money at inception	**No — closely related**
Purchase contract in **functional currency** of either party / commonly used currency	**No**
Leverage feature that could at least double initial return	**Yes**

9 Cash flow hedge — numbers

Forward contract to hedge a highly probable USD purchase of machinery. Cumulative gain on forward ₹1,20,000; cumulative change in PV of hedged cash flows ₹1,00,000 (opposite).

Working	₹
OCI (CFH reserve) = lower of the two cumulative amounts	1,00,000
Ineffective portion → P&L	20,000
On purchase of machine → **basis adjustment**: CFH reserve removed and included in machine's cost (not via OCI)	

> ✍ **Write in exam**
>
> "As per para 4.1.2 of Ind AS 109, a financial asset shall be measured at amortised cost if it is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows and the contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding."